

THE DOMINO EFFECT IN THE AUTOMOTIVE SECTOR



How technology is transforming or affecting the players in the automotive space

cent, and the remaining will be divided amongst software (40 per cent) and content (20 per cent). Auto experts believe that collaboration will be key as it's difficult for auto manufacturers to sustain in the current disruptive scenario. Pedro Pacheco, Senior Director Analyst at tech consulting firm Gartner, believes auto companies that don't think technologically could face shrinkage or extinction. "Connected cars and software will be the main revenue growth driver towards the end of this decade in the automotive sector. Companies that aren't able to do this are basically at great risk from a profitability point of view," he says.

Auto companies have already started hiring people with tech backgrounds to future-proof themselves. At MG India, for example, Chaba says that tech hiring at the company has significantly gone up. But Pacheco argues that only hiring tech talent will hardly solve the game. "Being a tech company isn't about having a lot of software engineers. It's a company that thinks like a tech company. This is what traditional automakers haven't been able

to do, as many of them are not digitally mature," he says.

Thus, automobile companies and tech companies now see potential to collaborate for new business opportunities. "Technologies like natural language processing, augmented reality, multi-screen environments powered by sensor-rich environments using 5G, and edge computing are bound to disrupt the industry, therefore allowing car manufacturers and their ecosystem of partners to invent new business models," says Sanjay Gupta (India Head), Vice President, and India Managing Director, NXP India.

The Dutch semiconductor company has helped accelerate EV system development and is now developing technology for autonomous vehicles. It has worked with automakers like BMW, Ford, Tata, Mahindra & Mahindra and Maruti Suzuki in the four-wheeler segment, and Bajaj Auto, TVS Motor, Hero MotoCorp, Ola Electric, and Ather Energy in the two-wheeler segment. Gupta says one key reason behind this collaboration is that margins of EVs are anticipated to be lower than gasoline-powered vehicles. "This places pressure on manufacturers to discover new revenue streams. Tech companies venturing into automobile segments is crucial for the industry to evolve in terms of technology. With the rise in processing capability of the chips, various complicated and configurable innovations will be made that will be followed in the future as well. As a result, collaboration is the only option to evolve," he says.

Another fundamental force, experts say, will be the rise of mobility-as-a-service. Globally, there's a shift away from owned vehicles towards mobility solutions on an on-demand basis. "Car as a service is the future. Which means we can start doing a lot of add-on services from the car itself. In a few years' time, it's very clear that the smartphone generation will be our primary buyers. For them, the car is the fourth screen after the TV, laptop and phone. People want a seamless experience across these screens," says MG's Chaba.

Ericsson's Bansal believes that CASE will drive the transformation of global

40%

SHARE OF
HARDWARE
AND SOFTWARE
EACH IN A
FUTURE CAR